

MICROSOFT CORPORATION (MSFT)

ANNUAL REPORT - FISCAL YEAR 2023

For the fiscal year ended June 30

Fiscal period: Annual

Fiscal year: 2023

SAMPLE DOCUMENT - Illustrative figures prepared for product demonstration. Values are approximate and must not be used for investment decisions.

BUSINESS OVERVIEW

Microsoft Corporation develops, licenses, and supports software, services, devices, and solutions worldwide. In fiscal year 2023 the company operated across three reportable segments: Productivity and Business Processes, Intelligent Cloud, and More Personal Computing. Its offerings include Office 365, Windows, Azure cloud services, LinkedIn, and Xbox. The company serves consumers, small and mid-sized businesses, large enterprises, and public-sector customers through direct and partner channels.

Principal executive offices are maintained in the company's home market, and operations are conducted through subsidiaries and branches in major regions worldwide. The consolidated financial statements presented in this annual report cover the results of operations, financial position, and cash flows for fiscal year 2023 and, where presented for comparison, the prior fiscal year.

RESULTS OF OPERATIONS

Key financial metrics for fiscal year 2023 (amounts in millions of US dollars, ratios and margins as stated):

Total revenue: \$211,915 million

Revenue growth (year-over-year): 6.9%

Gross profit: \$146,052 million

Gross margin: 68.9%

Operating income: \$88,523 million

Operating margin: 41.8%

Net income: \$72,361 million

Net margin: 34.1%

EBITDA: \$97,304 million

EBITDA margin: 45.9%

Earnings per share (basic): \$9.68

Consolidated balance sheet data:

Total assets: \$411,976 million

Total liabilities: \$205,753 million

Total equity: \$206,223 million

Cash and equivalents: \$111,262 million

Total debt: \$79,548 million

Key ratios:

Current ratio: 1.77

Quick ratio: 1.74

Debt-to-equity: 0.39

Return on equity: 35.1%

Return on assets: 17.6%

Price-to-earnings ratio: 33.8

Cash flow data:

Operating cash flow: \$87,582 million

Capital expenditures: \$28,107 million

Free cash flow: \$59,475 million

Management commentary on results of operations:

Management's discussion and analysis of financial condition and results of operations is based on the company's consolidated financial statements for fiscal year 2023. The top line increased during the year as reflected in the consolidated statements of operations. Operating performance was supported by the company's Productivity and Business Processes, Intelligent Cloud, and More Personal Computing portfolio, while operating expenses reflected continued investment in research and development, go-to-market capacity, and infrastructure. Within the results of operations, cost of revenue and operating expenses are presented by natural classification in the accompanying statements. Selling, general and administrative expenses remained broadly stable as a share of the top line, and the company continued its share repurchase and dividend programs where applicable. Management believes that cash on hand together with cash generated from operations is sufficient to fund operations, capital expenditures, and financing activities for at least the next twelve months.

FINANCIAL STATEMENTS

Consolidated Statements of Operations - Fiscal Year 2023

Total revenue: \$211,915 million

Cost of revenue: \$65,863 million

Gross profit: \$146,052 million

Operating expenses: \$57,529 million

Operating income: \$88,523 million

Net income: \$72,361 million

Earnings per share (basic): \$9.68

Consolidated Balance Sheets - End of Fiscal Year 2023

Total assets: \$411,976 million

Total liabilities: \$205,753 million

Total equity: \$206,223 million

Cash and equivalents: \$111,262 million

Total debt: \$79,548 million

Consolidated Statements of Cash Flows - Fiscal Year 2023

Operating cash flow: \$87,582 million

Capital expenditures: \$28,107 million

Free cash flow: \$59,475 million

RISK FACTORS

The company's business, operating results, and financial condition are subject to the following risks, among others. Competitive intensity in productivity and business processes could pressure pricing and market share. Fluctuations in foreign currency exchange rates may materially affect reported results. Regulatory changes, including data privacy, environmental, and trade regulations, could increase compliance costs. The company depends on a limited number of key suppliers and contract manufacturers; disruption could delay product shipments. Cybersecurity incidents or service outages could harm customers and reputation. Litigation and regulatory investigations, including class action lawsuits relating to product and commercial matters, could result in significant costs and adverse outcomes. Customer concentration in certain segments may amplify the effect of demand changes.

LIQUIDITY AND CAPITAL RESOURCES

Cash and equivalents were \$111,262 million at the end of fiscal year, and total debt stood at \$79,548 million.

Cash provided by operating activities was \$87,582 million. Capital expenditures were \$28,107 million, and free cash flow was \$59,475 million. The company's liquidity position is supported by committed and uncommitted

credit facilities with major financial institutions, together with access to commercial paper markets where applicable. Contractual obligations include operating lease commitments, purchase obligations for inventory and manufacturing services, and debt maturities.

NOTES TO FINANCIAL STATEMENTS

Note 1 - Basis of presentation: The consolidated financial statements have been prepared in accordance with accounting principles generally accepted in the United States of America (or, where applicable, local GAAP) and include the accounts of the company and its wholly owned subsidiaries. Note 2 - Summary of significant accounting policies: Revenue is recognized when control of promised goods or services is transferred to customers. The company's independent registered public accounting firm audited the consolidated financial statements and issued an unqualified audit opinion stating that the statements present fairly, in all material respects, the financial position of the company. Note 3 - Revenue by segment: Segment information for Productivity and Business Processes, Intelligent Cloud, and More Personal Computing is presented in Note 12. Note 4 - Inventories. Note 5 - Property, plant and equipment. Note 6 - Long-term debt. Note 7 - Leases. Note 8 - Income taxes. Note 9 - Commitments and contingencies, including certain litigation matters and regulatory investigations disclosed in the risk factors section. Note 10 - Stockholders' equity. Note 11 - Earnings per share. Note 12 - Segment information.

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